

Upper Echelons Theory

GLOSSARY 02 - SHEET 3 / 8

Organisational outcomes are partly predicted by the characteristics of the top management team

PROFESSIONAL DEFINITION

Upper echelons theory holds that organisational outcomes - strategic choices and performance levels - are partially predicted by the observable and psychological characteristics of the dominant coalition of senior managers, because executives act on their personalised interpretations of the situations they face, and those interpretations are shaped by their experience, values and cognitive base (Hambrick and Mason, 1984; Hambrick, 2007).

WHO DEFINED IT ORIGINALLY

Donald C. Hambrick and Phyllis A. Mason set out the theory in the Academy of Management Review in 1984 while at Columbia University. Hambrick (2007) revisited and refined it, adding managerial discretion and executive job demands as moderating conditions. The intellectual foundation is the behavioural theory of the firm (Cyert and March, 1963) and March and Simon's bounded rationality.

WHY THIS DEFINITION WAS DEVELOPED

Strategy research of the period modelled the firm as a rational actor responding to industry structure, which left substantial variance in strategic choice unexplained between firms facing identical conditions. Hambrick and Mason proposed that the residual lay in who was deciding, and made the argument testable by using observable executive characteristics as proxies for cognition that could not be measured directly.

FIGURE 1 - FROM EXECUTIVE COGNITION TO OUTCOME

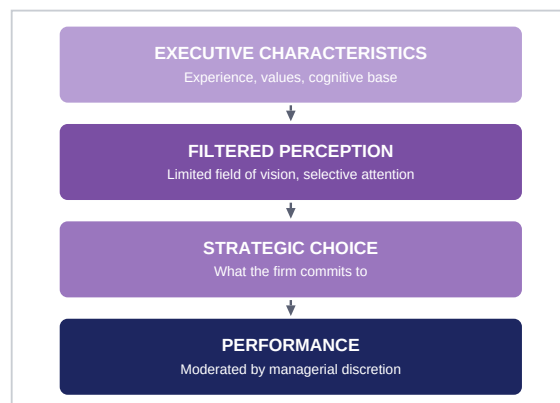


Figure 1. Executives do not respond to the situation but to their construction of it. The strength of the link from characteristics to outcome varies with managerial discretion, which is why the theory predicts well in loosely regulated markets and weakly in tightly constrained ones (after Hambrick, 2007).

HOW IT IS USED

Examine the composition, tenure, functional background and heterogeneity of the top team when explaining or predicting a strategic commitment; treat a homogeneous team as a predictor of narrow option generation, not merely of harmony.

WHEN IT IS USED

In board assessment of AI strategy proposals, at succession planning, when a firm's technology posture diverges sharply from its peers, and when diagnosing why an executive committee cannot agree what it decided.

BY WHOM IT IS USED

Boards and nomination committees composing the top team, chief executives assembling AI steering groups, and governance advisers assessing decision quality at the top.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

The predecessor position was industrial-organisation strategy, in which management was a black box and structure determined conduct. Upper echelons opened the box while remaining empirically tractable, by substituting observable demographics for unobservable cognition. Hambrick's (2007) addition of managerial discretion resolved the theory's main weakness: executive characteristics predict outcomes strongly where discretion is high and weakly where it is constrained, which specifies the conditions of application rather than asserting universality.

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[Decision Rights - Unit 2](#)
[Change Leadership - Unit 2](#)
[AI Strategy - Unit 3](#)
[Organisational Culture - Unit 2](#)
[Accountability Gap - Unit 6](#)

SOURCES (HARVARD REFERENCING STYLE)

Cyert, R.M. and March, J.G. (1963) A Behavioral Theory of the Firm. Englewood Cliffs, NJ: Prentice-Hall.

Hambrick, D.C. (2007) 'Upper echelons theory: an update', Academy of Management Review, 32(2), pp. 334-343.

Hambrick, D.C. and Mason, P.A. (1984) 'Upper echelons: the organization as a reflection of its top managers', Academy of Management Review, 9(2), pp. 193-206.